Stock Price Prediction – Interview Questions & Answers

1. What is Seasonality in Time Series?

Seasonality refers to repeating patterns or trends that occur at fixed intervals in time-series data. These patterns may be daily, weekly, monthly, or yearly. Identifying seasonality helps improve forecasting accuracy by capturing recurring behavior.

2. Can Linear Regression Perfectly Predict Stock Prices?

No. Linear Regression cannot perfectly predict stock prices because markets are affected by unpredictable factors such as news, economic events, and investor behavior. It can identify trends and provide approximate predictions but cannot guarantee accurate future prices. Advanced time-series models are often more effective for stock forecasting.